Theory case · Topic 1 · 2 points · 15 min

C07 — A drone-spraying cooperative and a launcher joint venture

Two situations in the same region:

Case 1. *Forty vineyard owners cannot each afford a crop-spraying drone. They create an organization that buys three drones and hires two pilots; any vineyard owner of the area may join, each member has one vote in the assembly regardless of size, and at the end of the year what is left after paying the expenses is returned to each member in proportion to the hectares sprayed.*

Case 2. *A European launcher manufacturer and a Japanese engine company set up a company owned 50/50 for the sole purpose of developing a reusable upper stage over eight years. When the stage is certified, the company will be dissolved.*

Part (a) · 1.25 points

Identify the form of business ownership in each case and justify it with its defining features

Case 1 is a cooperative association [Slides 27-28]: an incorporated organization whose **user-members are also its owners** and get back the revenue left after expenses. It follows the cooperative principles: **open membership** (any vineyard owner may join), **democratic control** (one member, one vote), and **benefits distributed in proportion to each member's participation** (hectares sprayed). Of the course's common types, the closest is a **buying co-op**, which helps members buy at lower prices (here, a spraying service); it is not an agricultural co-op in the course's sense, which helps member farmers **market** their products [Slide 28].

Case 2 is a joint venture [Slide 29]: a special type of partnership set up by firms to **accomplish a specific task or project**, the reusable upper stage, and dissolved once the task is done. It is very common in **international business**, as here.

KEY POINTS

- Case 1: cooperative association (open membership, democratic control, benefits in proportion to participation, user-members are owners); closest type: a buying co-op.
- Case 2: joint venture: a special partnership for a specific task or project, common in international business.

Part (b) · 0.75 points

Explain one advantage of each form for its members

The **cooperative** gives small vineyard owners access to equipment that none could buy alone, at cost, while keeping control democratic and sharing the surplus fairly. The **joint venture** lets two firms from different countries **share the cost and risk** of a long, uncertain project and **combine complementary know-how** (launcher and engines) without merging the whole companies; each parent keeps its independence in the rest of its business. These advantages are reasoning applied to the case; the deck defines the forms but does not list their advantages.

KEY POINTS

- Co-op: access to expensive equipment and lower costs, with democratic control and fair sharing.
- Joint venture: sharing a large, risky project and combining complementary know-how across countries without merging the parent companies.